

Betting on Intelligence: AI and the Future of Portfolio Management Services in India

A sector perspective on personalisation, scalability and technology-led disruption in Indian wealth management

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Where This Interest Began

My introduction to Portfolio Management Services began while preparing for an interview with Dezerv, a technology-backed portfolio management company. That preparation meant understanding not just the company but the sector it operates in — how portfolio managers are regulated, how they earn money, who their clients are, and why a firm like Dezerv calls itself "technology-backed" rather than simply a wealth manager.

That question stayed with me and became the subject of an independent thesis: where artificial intelligence genuinely changes the economics of Portfolio Management Services in India, and where it does not. What follows is a condensed version of that research — grounded in data, honest about where the evidence is thin, and built toward a clear, testable thesis rather than a narrative about technology for its own sake.

India's Wealth Management Crossroads

India's wealth-management industry is shifting from a product-distribution model toward integrated management of a client's entire financial life — asset allocation, risk management, reporting and planning, not just selling individual products. Wealth management is the broader relationship: investment management plus financial planning, tax structuring, succession planning and reporting. Investment management is narrower — the deployment and management of capital itself through asset allocation, security selection and portfolio construction.

Deloitte estimates India's wealth-management AUM could grow from roughly \$1.1 trillion in FY24 to \$2.3 trillion by FY29. Separately, industry estimates place the market at about \$171 billion in 2025, growing to \$436 billion by 2034 — a 10.6% CAGR. The methodologies differ, but both point to a large, structurally expanding market.

This growth coincides with a technology shift: EY describes an emerging "wealthtech" ecosystem spanning robo-advisory, digital brokerage, portfolio-management tools and B2B platforms, with wealth creation spreading beyond India's metro strongholds. This thesis narrows the lens deliberately: geography is India, the focus is Portfolio Management Services, the technology inflection is AI, and the lens is scalability, economics, personalisation and operating leverage.

The Broader Ecosystem: Where PMS Actually Sits

Each investment vehicle differs in how capital is managed, how decisions are made, and how personalised the service is. Wealth management is the broadest, client-facing model, coordinating investments, planning, tax and reporting. Investment management is narrower — research, allocation, construction and monitoring — delivered through PMS, mutual funds, AIFs or other vehicles.

Mutual funds pool investor capital into units of a scheme; investors hold units in a common pool rather than an individually managed portfolio. AIFs give sophisticated investors access to strategies beyond listed markets but, like mutual funds, pool capital across investors — offering a different degree of personalisation from PMS despite serving a similarly affluent client base. Beyond these, the ecosystem increasingly includes private credit, structured products, global investments, direct equities and real estate, adding complexity as affluent portfolios spread across more of them.

PMS sits at a specific point in this landscape: it combines professional investment management with a high degree of portfolio-level personalisation — making it the most useful reference point for understanding personalised investment management, and the most interesting test case for what AI can and cannot change about that personalisation at scale.

Portfolio Management Services: Personalisation as the Product

PMS is a professionally managed investment service in which a SEBI-registered portfolio manager manages a client's securities under an agreed mandate. Unlike mutual funds, PMS clients own the underlying securities directly in their own demat account — allowing more customisation but demanding more effort per client. SEBI recognises three forms: discretionary (the manager decides independently), non-discretionary (the manager executes on client instructions) and advisory (the manager advises; the client implements). SEBI mandates a minimum client investment of Rs. 50 lakh and a minimum portfolio-manager net worth of Rs. 5 crore.

A PMS business monetises investment expertise, with economics tied to AUM, fee structure and performance: client capital → mandate → research and portfolio construction → trade execution → monitoring → reporting → fee revenue.

Revenue comes from a management fee (recurring, AUM-linked); a performance fee (a share of gains, subject to a high-water mark that prevents re-charging on recovered losses); hybrid structures combining both; exit loads on early withdrawal; and ancillary income from adjacent AIF, mutual fund or advisory offerings.

Costs include portfolio-level charges (brokerage, STT, custodian, demat, audit); human capital — the single largest and most fixed cost, since the core product is investment expertise; research and technology (market data, order-management, reporting platforms); distribution payments to wealth platforms; regulatory and compliance overhead; and general marketing and administration.

This combination of people-intensive investment management layered onto research, technology, distribution and compliance costs is why scalability is such a central question for the industry — and why technology's role in reshaping the cost structure matters as much as its role in generating better

returns.

Who Is Actually Buying This: The HNI and UHNI Growth Story

PMS demand tracks the growth of India's HNI and UHNI population, driven by entrepreneurship and business-exit wealth, rising capital-market participation, real-estate appreciation, and the general expansion of financial assets. This population is geographically concentrated — Mumbai (35.4%) and Delhi (22.8%) together account for 58.2% of India's UHNIs — which explains why PMS managers and distribution networks cluster there, even as digital platforms let firms serve clients nationally.

As wealth grows, portfolios don't just get larger — they get more complex: exposure spreads across asset classes that must be viewed as one portfolio; concentrated business wealth raises risk elsewhere; liquid holdings must be balanced against illiquid alternatives; tax and succession planning grow more important; and the need for professional managers who can monitor, rebalance and manage risk within a mandate rises. PMS answers that need directly — portfolio-level customisation, direct ownership and real visibility into individual holdings, in a way a pooled product cannot.

The Competitive Landscape: Scale Without AI — Yet

As of April 2026, India's PMS industry managed Rs. 42.29 lakh crore in AUM across 212,212 clients — AUM up 11% year-on-year, though client numbers dipped 1.7% month-on-month. The market is overwhelmingly discretionary: 95.7% of clients and 84.9% of AUM sit within discretionary mandates. Non-PF/EPFO assets (Rs. 10.48 lakh crore, growing 17% YoY) are the more relevant proxy for the private-wealth opportunity than headline AUM, which is heavily weighted by PF/EPFO money. April 2026 saw net inflows of Rs. 25,088 crore, of which discretionary PMS captured Rs. 21,479 crore.

The manager base has expanded sharply — from 24 SEBI-registered portfolio managers in 2013 to 517 by April 2026, though the majority remain Mumbai-based. That growth in managers and operational scale is the foundation for emerging technology-enabled operating models.

So far, though, technology is concentrated in operations and compliance rather than investment decision-making. KFinTech's Inpro platform, for instance, uses data analytics and automated screening to cut AML/KYC compliance costs. APMI's April 2026 programme also introduced digital onboarding for NRI clients (roughly 9% of PMS clients). Beyond compliance, the whitespace includes onboarding and reporting infrastructure, scalable servicing as the client base grows, and wider distribution through India's network of over 18,000 individual distributors.

Importantly, no incumbent PMS player yet qualifies as genuinely "AI-native." Digital infrastructure and automated compliance are well documented; AI sitting at the centre of research, portfolio construction and investment decisions is not. That gap between operational technology and true investment-layer AI is the whitespace this thesis is built around.

Dezerv: A Case Study in Technology-Led PMS

Dezerv, founded in 2021 by former senior IIFL Wealth executives Sandeep Jethwani, Vaibhav Porwal and Sahil Contractor, combines PMS, AIFs and distribution on a technology-led platform aimed at India's emerging wealth creators and HNIs. Its assets grew from Rs. 200 crore in October 2021 to over Rs. 16,000 crore by October 2025, alongside a Rs. 350 crore Series C round co-led by Premji Invest and Accel, taking total capital raised past Rs. 850 crore. By then, Dezerv reported over Rs. 14,000 crore across PMS, AIF and distribution assets, clients across 200+ cities, and 5 lakh+ app users tracking over Rs. 2 lakh crore of assets.

Dezerv's technology runs on a CREATE → TRACK → EVALUATE → UPDATE cycle, with portfolios monitored daily and supported by a dedicated relationship manager. Its app also works as a consolidated financial dashboard across mutual funds, stocks, bank accounts, NPS and fixed deposits. AI's role sits specifically at customer acquisition and servicing: Premji Invest described the model as "AI-enabled" in prospecting and onboarding, paired with tailored offerings and proactive engagement — spanning lead identification at acquisition, data-driven personalisation at onboarding, and digital monitoring and reporting at the servicing layer.

Critically, Dezerv isn't using AI to replace the wealth manager — its 2025 raise funded both technology and relationship-manager hiring, a Human + Technology model where AI absorbs scale and process work while humans retain judgment over significant decisions. Its fixed-fee PMS offering charges roughly 1% of portfolio value annually.

The economics tell a more cautionary story: Dezerv reported Rs. 66 crore of operating revenue against a Rs. 112 crore net loss in FY25 (versus Rs. 26 crore revenue and a Rs. 74 crore loss in FY24), with employee expenses up 75% to Rs. 110.8 crore. Rapid AUM growth has not yet translated into profitability — the tension at the heart of this thesis: can technology-driven operating leverage eventually outpace the upfront cost of building investment, technology and distribution capability simultaneously?

Where AI Actually Fits — and Where It Doesn't

The traditional PMS growth model is roughly linear: more clients require more research and servicing, which requires more employees, raising costs proportionately. A technology-enabled model aims to break that line — absorbing more clients through automated data processing, monitoring and reporting, creating genuine operating leverage instead of headcount growth. Concretely: research summarisation, continuous portfolio and risk monitoring, personalised recommendations and scaled client servicing let a smaller team cover more clients without a proportional rise in cost.

The industry is still solving for personalisation beyond off-the-shelf allocations, real-time rather than periodic risk monitoring, faster research on filings and market data, operational efficiency in KYC/AML and compliance, a consolidated client experience, and scalability without proportional cost growth. These map onto at least four monetisable models: technology-enabled PMS earning fees on AUM; a hybrid wealth platform spanning PMS, AIFs and other products; B2B wealth infrastructure sold to existing managers; and an "AI-as-a-layer" offering sold into financial institutions. In every case, the

driver is AUM growth combined with genuinely improved operating leverage.

But the more important point is where durable advantage comes from. Generic AI capability is commoditising quickly, so deploying a model is not, by itself, a moat. The advantage has to sit in proprietary customer and portfolio data, a verifiable investment track record, distribution and customer relationships, investment-team expertise, and the high switching costs of becoming a client's single consolidated wealth platform — AI combined with data, trust and distribution, not AI alone.

None of these sources of advantage — proprietary data, track record, distribution, team expertise, purpose-built technology, scalable compliance, or genuine human-AI integration — is sufficient on its own. Durable advantage is more likely to come from combining several at once, a far harder combination for a new entrant to assemble quickly than any single AI capability.

Risks and What Must Be True

- Regulation — shifts in investment, disclosure, suitability or AI-specific rules could raise costs or restrict how technology is deployed.
- AI accuracy and model risk — AI-generated research can be wrong or overconfident, so human oversight remains essential.
- Data and privacy — poor data produces poor outputs; breaches could damage compliance standing and trust.
- Trust — investors are handing over their wealth; even efficient platforms need visible human accountability for major decisions.
- Incumbent adoption — established managers already have teams, relationships and distribution; if they adopt similar technology, a new entrant's edge narrows quickly.
- AI commoditisation — with generic AI increasingly accessible, the moat must come from proprietary data, workflows or relationships, not the model itself.
- Customer acquisition costs — fast AUM growth without matching unit economics risks high cash burn.

For this thesis to hold, four things must be true: technology must materially improve productivity, not just add another interface; human judgment must remain effective for high-value decisions; unit economics must support genuine customer acquisition and retention; and technology-driven advantages must become hard to replicate through proprietary data, workflows, distribution or trust.

The Final Thesis

The opportunity in technology-led PMS isn't about digitising an existing product — it's about turning a traditionally people-intensive, relationship-driven model into a more scalable, data-driven one. India's PMS industry already has the scale (Rs. 42.29 lakh crore AUM, 517 registered managers, a fast-growing non-PF/EPFO segment) for this transformation to matter economically, and AI can plausibly improve research, personalisation, monitoring and operating efficiency along the way. But AI itself is not the thesis. The durable opportunity is the combination of AI, proprietary data, investment expertise, distribution and trust — together capable of serving more clients with more personalisation and better operating leverage than the traditional model allows.

The test I'd apply to any company in this space is simple: can technology let a PMS firm scale its AUM and client relationships faster than its operating costs? Everything else — the AI narrative, the app, the dashboard — is secondary to that single, measurable question.

Sources & References

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Figures on PMS industry AUM, client counts, manager registrations and flows are drawn from the APMI PMS Industry Compendium (April 2026 data) and SEBI public disclosures. Company-specific figures for Dezerv are drawn from its own public statements, press coverage of its funding rounds, and its FY24/FY25 financial filings as reported in the press.